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Strategy in the age of AI - Eight points beyond the obvious

Where modularity persists and where integration shows up again

SANGEET PAUL CHOUDARY

AUG 23



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What happens when AI changes not only how companies compete, but the very game they are competing in?

In this conversation, Rita McGrath and I - guided by the always-insightful Aidan McCullen - bring together complementary ideas from the books we have written and those we are currently working on.

It promises to be a treat: a wide-ranging exploration of what strategy becomes when the assumptions it rests on begin to shift.

Rethinking strategy

Our central argument is that viewing AI through the traditional mechanisation/automation lens traps us in looking for operational benefits (much of the discourse today), when the real advantage lies in understanding its impact on the rules of competition. It changes where scarcity lies, how industries are organized, and what constitutes a defensible advantage. These are ideas I've explored at length in [Reshuffle](#).

One of the points I make, particularly in my next book *Unfair Advantage* (still in the works) is that we may also have over-indexed on modularity, mistaking a response to high coordination costs for an enduring law of business. As AI makes intelligence within individual modules abundant, advantage increasingly moves to those who can connect activities, learn across their boundaries, and improve the whole system together.

Vertical integration may therefore be returning, but in a new form. The prize is no longer necessarily ownership of every asset. It is ownership of the feedback loops that connect them.

Here are eight propositions that take the discussion beyond the obvious.



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1. The strategic problem is no longer how to

win the game, but whether the game still exists

Traditional strategy works something like this: identify an attractive position, build capabilities around it, and execute better than rivals.

AI introduces a more dangerous form of uncertainty. It does not merely change how efficiently firms perform existing activities; it changes which activities remain valuable, who can perform them, and where industry boundaries sit.

That means operational excellence can become strategically destructive.

A firm may become dramatically better at performing work whose economic value is disappearing. Winning the old game faster can simply accelerate movement toward irrelevance.

Traditional consulting firms illustrate the risk. Many are understandably investing in AI to make consultants faster at research, analysis, and deck creation. The deeper threat, however, is that clients can now perform portions of that work themselves while model providers absorb others. If consulting firms treat AI mainly as a productivity tool, they optimize the shrinking middle rather than asking what new work becomes valuable once production of knowledge work is no longer scarce.

2. Competitive advantage moves with scarcity, not with capability

Managers often identify advantage with something their company is particularly good at. But capabilities only generate rents while they remain scarce.

Once technology makes a capability widely accessible, excellence in that capability matters less economically even if the capability itself becomes

more powerful.

Strategy should follow the constraint rather than celebrate the newly abundant capability.

Agencies, historically, charged partly because producing good-enough creative variations required expensive, skilled labor. Generative AI radically expands the supply of that output. An agency that responds only by producing more variants faster in the name of ‘innovation’ is competing harder in the activity whose scarcity is disappearing.

The only defensible position that remains is building a proprietary learning system that understands what makes a message work, integrating it into the customer’s commercial system, measuring outcomes, and understanding which components and choices influenced the output - and in what way.



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3. AI-native advantage comes from redefining the unit of value, not adding AI to the old product

Incumbents commonly interpret a new technology as another delivery channel for an existing product. Native entrants instead ask whether the technology allows the product itself to be reorganised around a smaller or different unit.

That change in unit can reorganize workflows, interfaces, governance, and eventually the industry.

Adobe moved successfully from packaged software to subscriptions and cloud delivery, but much of its underlying logic remained file-centric. Figma

treated individual design elements as reusable organizational objects. That sounds like a technical distinction, but economically it changed what could be governed, reused, shared, integrated, and coordinated across teams. Design became less about manipulating isolated files and more about managing an organizational design system.

Adobe therefore did not simply face a competitor with a better interface. It faced a competitor organized around a different unit of value.

An incumbent asking how to add AI to today's object may miss an entrant asking whether AI makes today's object obsolete as the natural unit around which work should be organized.



Figma - The untold story

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4. Horizontal strategies may move from standards adoption to AI-enabled translation

Digital platforms accumulated power by forcing participants into common interfaces - by establishing a standard and making everyone conform to it. The usual assumption is therefore that coordination requires either consensus around a shared standard or power strong enough to impose one.

AI weakens that assumption because it can reduce the cost of translation between incompatible systems. If machines can continuously interpret different schemas, documents, workflows, and domain languages, coordination can happen before everyone agrees on a standard. This creates a new entry strategy: instead of attacking an incumbent's product directly, span the incompatible systems surrounding it and become the place where decisions are made.

Construction software illustrates the opportunity. Autodesk's power partly rests on proprietary formats and workflows. An AI-native entrant does not necessarily need to replace Autodesk's design tools. It can translate across

...necessarily need to replace Autodesk's design tool. It can translate across Autodesk, Bentley, engineering systems, contractor documents, and project data to create a unified operational view. If users increasingly coordinate through that layer, the translator may eventually gain enough power to dictate interfaces back to the systems it once merely connected. Translation starts as interoperability and can end as governance.

5. Vertical integration returns when advantage lies in learning across the boundaries

For the past several decades, strategy rewarded modularization. Firms outsourced activities, standardized interfaces, moved infrastructure to the cloud, and concentrated on the layer where they believed they had an advantage. The implicit logic was that activities could be separated as long as interfaces between them were sufficiently stable.

AI changes the economics when performance depends on learning across those boundaries. If improving the customer outcome requires simultaneously adjusting product design, production, distribution, and demand sensing, then the valuable asset is not any individual layer. It is the proprietary feedback system that learns how the layers should change together. The coupling becomes an asset.

Shein is a useful illustration. Its advantage is not simply cheap manufacturing, superior fashion design, or better demand prediction. It connects social signals, design, small-batch production, market testing, supplier allocation, and replenishment into one rapid learning system. Each stage generates information that changes decisions elsewhere. A conventional retailer that outsources production and separately optimizes merchandising may possess many of the same components but not the same learning architecture.

The emerging form of integration is therefore not primarily about owning factories. It is about owning the feedback loops between activities.

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6. In an AI economy, the by-product may become more valuable than the product

Most firms treat drafts, rejected options, failed experiments, intermediate reasoning, and abandoned designs as waste because the economic objective has historically been the finished output. But those discarded iterations contain information about why decisions were made, which alternatives failed, what trade-offs were considered, and how judgment evolved.

AI can turn that exhaust into reusable capital. Once intermediate work becomes machine-readable, the firm can search it, recombine it, identify conceptual gaps, train future workflows, and personalize outputs for different contexts. The finished product is only one bundle assembled from a much larger underlying knowledge base.

Publishing provides a strong example. A traditional publisher monetizes the finished book while most research notes, alternate structures, case material, rejected arguments, and conceptual connections disappear economically once publication occurs. An author who converts that material into a structured knowledge graph can produce multiple new narratives, detect gaps in the underlying theory, answer context-specific questions, or create entirely different products.

The strategic inversion is important: firms may discover that the asset was never merely what they shipped. It was the accumulated trail of learning generated while figuring out what to ship.

7. The machine that builds the machine becomes more important than the machine

When AI makes competent output widely available, selling a superior static output becomes harder to defend. Advantage moves toward the system that observes outcomes, learns from them, and modifies future production faster than rivals.

This changes the meaning of data advantage. The valuable data is not merely information about customers. It is measurement embedded throughout the production system: which design works with which manufacturing process, which recommendation performs under which conditions, which battery configuration works with which charging environment, or which intervention changes the desired outcome. The firm with the best measurement architecture can continuously improve every coupling that produces the result.

Tesla illustrates the logic better than a conventional car company. Its strategic system spans vehicle software, battery performance, charging infrastructure, driving behavior, service information, and continual software updates. The relevant advantage is therefore not reducible to producing a better car at a moment in time. It is the system through which information from usage feeds back into multiple parts of the offering.

As outputs commoditize, measurement becomes strategy because whoever defines what gets measured determines what the system learns to optimize.

8. In structural uncertainty, capabilities should be treated as options rather than execution assets

Classic capability building starts with strategy: decide where the firm will compete, then acquire the people, processes, and technologies required to execute that position. AI destabilizes that sequence because the external opportunity set and the internal capability set are changing simultaneously.

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A new AI capability may suddenly make an adjacent market accessible. Employees experimenting with new tools may discover workflows executives never planned. A competitor from another industry may acquire capabilities that previously required years of specialized hiring. Capabilities therefore become less like fixed resources supporting a chosen strategy and more like options that reveal new strategies as they evolve.

Kodak provides a useful historical analogy. It is simplistic to say Kodak failed merely because it ignored digital photography; it invested substantially in digital technology. The deeper strategic problem was that digital capabilities were largely evaluated through the economics and identity of the existing photography business. The new capability was treated as something that should support the established game rather than as an option on fundamentally different ways of creating and capturing value.

AI makes this problem continuous. Strategy can no longer be an occasional choice followed by capability execution. Firms must repeatedly use emerging capabilities to test what new games have become possible.



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Taking the *Reshuffle* thesis to the next level

Over the past year, I have been developing these ideas while applying the Reshuffle thesis across a wide range of industries. The work has involved asking where each industry is headed, how its structure is being reorganized, and what those shifts mean for strategy.

During that time, I have watched many of the thesis's underlying hypotheses begin to play out in real time - often faster, and in more varied ways, than I initially anticipated.

Some of you will have explored the interactive companion to my book at reshufflebook.com. I am now expanding it from a companion to the book into a living platform for tracking the reshuffle as it unfolds.

As part of this expansion, I will be launching a series of industry observatories, indices, and maps that track how the thesis is playing out across different sectors. Alongside them, I will launch a cohort-based program in which I will launch a course based on my thesis, share my ongoing analysis as it develops, and explore what strategy is becoming in the age of AI.

The topics we will look at will include:

- Identify where value is moving,
- Which industry boundaries are weakening,
- What new bottlenecks are emerging, and
- How the sources of competitive advantage are changing.

I will make these announcements over the coming weeks. If you would like to get early access to the new research or participate in the program, please indicate your interest using the form below.

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